

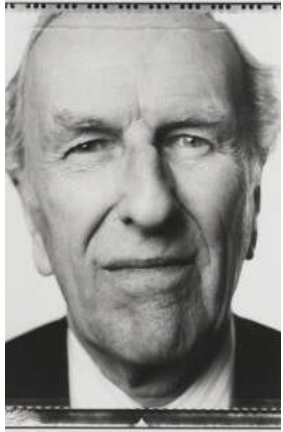
Pure Economic Loss (1)

Pure economic loss ('PEL')

- ❑ Easy to show DoC in cases of an act which reasonably foreseeably causes physical injury or property damage
- ❑ Harder to show DoC in cases of PEL, pure psychiatric injury, or omissions – 'special duty problems'
- ❑ Something more needed in PEL cases to create a DoC: normally this is an "assumption of responsibility"

Justifications for the exclusionary rule

- ❑ Economic loss lower in the hierarchy of interests than physical injury/property damage
- ❑ Floodgates: judges do not want to create “liability in an indeterminate amount for an indeterminate time to an indeterminate class” (Cadozo CJ in *Ultramares*)
- ❑ Liability would often be disproportionate to the wrong
- ❑ Important to protect freedom of economic activity
- ❑ Simple rules create legal certainty/predictability



Justifications for the exclusionary rule

“One of the most important distinctions always to be observed lies in the law's essentially different approach to the different kinds of damage which one party may have suffered in consequence of the acts or omissions of another. It is one thing to owe a duty of care to avoid causing injury to the person or property of others. It is quite another to avoid causing others to suffer purely economic loss.”

(Lord Bridge, *Caparo v Dickman*)

PEL outline

1. What counts as PEL?
2. Assumption of responsibility
3. The extension of *Hedley Byrne*
4. The limits of the doctrine
5. Specific aspects of the doctrine



1. What Counts as PEL?

Spartan Steel v Martin & Co [1973] 1 QB 27



Facts:

- ❑ D negligently damaged a power cable owned by T that was critical to C's factory, leaving C without power for 14 hours
- ❑ 3 kinds of damage:
 - (i) damage to steel in furnace at time of power cut which had to be poured away;
 - (ii) loss of profit from the sale of that steel; and
 - (iii) loss of profit from other steel which could have been made during the rest of the 14 hours.

Spartan Steel v Martin & Co [1973] 1 QB 27



Held:

- ☐ C can recover for damage types (i) and (ii), but not for (iii)
- ☐ (i) was damage to property
- ☐ (ii) was economic loss consequent on property damage
- ☐ (iii) was pure economic loss

Spartan Steel v Martin & Co [1973] 1 QB 27



- ❑ “the cutting of the supply of electricity ... is a hazard which we all run. ... Such a hazard is regarded by most people as a thing they must put up with—without seeking compensation from anyone. ... When the supply is cut off, they do not go running round to their solicitor. ... They just put up with it. They try to make up the economic loss by doing more work next day. This is a healthy attitude which the law should encourage.”
- ❑ “if claims for economic loss were permitted for this particular hazard, there would be no end of claims.”
- ❑ “the risk of economic loss should be suffered by the whole community who suffer the losses—usually many but comparatively small losses—rather than on the one pair of shoulders, that is, on the contractor on whom the total of them, all added together, might be very heavy.”

(Denning LJ, p.38)

Murphy v Brentwood DC [1991] 1 AC 398



Facts:

- ❑ D approved building plans for house purchased by C
- ❑ The foundations of the house cracked, causing damage to the walls and pipes of the house

Held:

- ❑ D not liable – pure economic loss

Murphy v Brentwood DC [1991] 1 AC 398



- ❑ “there is no liability in tort upon a manufacturer towards the purchaser from a retailer of an article which turns out to be useless or valueless through defects due to careless manufacture. The loss is economic.” (Lord Keith, p.465)
- ❑ “if such a duty is incumbent upon the local authority, a similar duty must necessarily be incumbent also upon the builder of the house. If the builder of the house is to be so subject, there can be grounds in logic or in principle for not extending liability upon like grounds to the manufacturer of a chattel. That would open on an exceedingly wide field of claims. ...” (Lord Keith, p.469)
- ❑ “it is necessary to search for and find something more than the mere reasonable foreseeability of damage ...[to provide] the degree of ‘proximity’ necessary” (Lord Oliver, p.486)

Car scenario #1



- ❑ C buys a car from D with a faulty wheel
- ❑ The faulty wheel causes C to crash and break his leg
- ❑ C is self-employed and cannot work for a few weeks as a result of his broken leg, and loses £X

Result: C can recover £X. This is not 'pure' economic loss – it is economic loss consequent on personal injury.

Car scenario #2



- ❑ C buys a car from D with a faulty wheel
- ❑ The faulty wheel damages the drivetrain and engine of the car

Result: D liable only in contract not in tort – damage is PEL

See Lord Keith in Murhpy v Brentwood DC, p.470

Car scenario #3



- ❑ C buys a car from A
- ❑ C purchases a new wheel from D, which is faulty
- ❑ The faulty wheel damages the drivetrain and engine of the car

Result: D liable – property damage, not PEL

See Lord Keith in Murhpy v Brentwood DC, p.470



2. Assumption of responsibility

The exception: assumption of responsibility

To establish that D owes C a duty of care for pure economic loss, C must usually show that:

- ❑ there was a relationship of trust and confidence between D and C;
- ❑ that D voluntarily assumed responsibility for the risk to C; and
- ❑ that in negligent misstatement cases, C reasonably relied on D's advice or information.

Hedley Byrne v Heller [1964] AC 465



Facts:

- ❑ C wanted to know if T was creditworthy
- ❑ D (T's bank) negligently provided a reference for C, saying T was creditworthy
- ❑ D clarified that references were being given 'without responsibility'
- ❑ T went bankrupt, and C made a loss as a result

Hedley Byrne v Heller [1964] AC 465



Held:

- ❑ D owed C a duty of care in relation to the PEL
- ❑ BUT ... the disclaimer – that references were being given ‘without responsibility’ – meant D was not liable in the end

Hedley Byrne v Heller [1964] AC 465



Justification

“A reasonable man, knowing that he was being trusted or that his skill and judgment were being relied on, would, I think, have three courses open to him. [1] He could keep silent or decline to give the information or advice sought: or [2] he could give an answer with a clear qualification that he accepted no responsibility for it ...: or [3] he could simply answer without any such qualification. If he chooses to adopt the last course he must, I think, be held to have accepted some responsibility for his answer being given carefully, or to have accepted a relationship with the inquirer which requires him to exercise such care as the circumstances require.” (Lord Reid, p.486)

Hedley Byrne v Heller [1964] AC 465



Justification

“the categories of special relationships which may give rise to a duty to take care ... are not limited to contractual relationships ... but include also relationships which ... are “equivalent to contract”, that is, where there is an assumption of responsibility in circumstances in which, but for the absence of consideration, there would be a contract.”

(Lord Devlin, p.528-529)



3. The extension of *Hedley Byrne*

A. Extension to third parties



Smith v Eric S Bush (a firm) [1990] 1 AC 831

Facts:

- ❑ Cs were purchasers of properties
- ❑ They paid their mortgagees for a valuation of the properties
- ❑ The mortgagees' valuers, D, negligently overvalued the properties
- ❑ Cs didn't get their own further survey and suffered loss when the valuations each turned out to be negligent

Held:

- ❑ D owed a DoC to C in respect of the PEL, even though C's relationship was only with their mortgagee, not with D

A. Extension to third parties



Smith v Eric S Bush (a firm) [1990] 1 AC 831

“In the present appeals, the relationship between the valuer and the purchaser is “akin to contract.” The valuer knows that the consideration which he receives derives from the purchaser and is passed on by the mortgagee, and the valuer also knows that the valuation will determine whether or not the purchaser buys the house.”

(Lord Templeman, p.846)

A. Extension to third parties



Smith v Eric S Bush (a firm) [1990] 1 AC 831

“The four critical facts are that [D] knew from the outset:

- (1) that the report would be shown to [C];
- (2) that [C] would probably rely on the valuation contained therein in deciding whether to buy the house without obtaining an independent valuation;
- (3) that if, in these circumstances, the valuation was, having regard to the actual condition of the house, excessive, [C] would be likely to suffer loss; and
- (4) that [C] had paid to the building society a sum to defray [D’s] fee.”

(Lord Jauncey, p.871)



B. Extension to the provision of services

“although *Hedley Byrne* itself was concerned with the provision of information and advice, it is clear that the principle in the case is not so limited and extends to include the performance of other services, as for example the professional services rendered by a solicitor to his client”

(Lord Goff in *Spring v Guardian Assurance* [1995] 2 AC 296, p.318)



B. Extension to the provision of services

Henderson v Merrett Syndicates Ltd [1995] 2 AC 145

Facts:

- ❑ Cs invested money in the Lloyds of London insurance market and lost it as a result of Ds' alleged negligence in managing their affairs

Held:

- ❑ Ds owed a duty of care on the basis of their assumption of responsibility



B. Extension to the provision of services

Subjective reliance not necessary in provision of services cases?

- “where [C] entrusts the defendant with the conduct of his affairs, in general or in particular, the defendant may be **held** to have assumed responsibility to [C], and [C] to have relied on the defendant to exercise due skill and care, in respect of such conduct.” (Lord Goff in *Spring v Guardian Assurance* [1995] 2 AC 296, p.318)
- “although, in the case of the provision of information and advice, reliance upon it by the other party will be necessary to establish a cause of action ... nevertheless there may be other circumstances in which there will be the necessary reliance ... In particular, as cases concerned with solicitor and client demonstrate, **where [C] entrusts the defendant with the conduct of his affairs, in general or in particular, he may be held to have relied on the defendant to exercise due skill and care in such conduct.**” (Lord Goff in *Henderson*, p.180)

C. Special extension: wills



White v Jones [1995] 2 AC 207

Facts:

- ❑ D instructed by A to put Cs, his daughters, in his will.
- ❑ D negligently failed to include Cs in the will, and A died.
- ❑ C then discovered the will had not been changed.
- ❑ C claimed against D for the money they would have had if the will had been changed

C. Special extension: wills



White v Jones [1995] 2 AC 207

Problems:

- ☐ No relationship at all between D and C
- ☐ D never assumed any responsibility to C
- ☐ C did not rely on anything D did or did not do
- ☐ D's negligence was an omission, not an act

C. Special extension: wills

White v Jones [1995] 2 AC 207

Held (3-2):

- D liable for C's loss!!



C. Special extension: wills



White v Jones [1995] 2 AC 207

Lord Goff's reasoning (majority):

1. "if such a duty is not recognised, the only persons who might have a valid claim ... have suffered no loss, and the only person who has suffered a loss ... has no claim."
(p.259)
2. Importance of legacies in society
3. No injustice done to solicitors
4. Role of solicitors in society an important factor

C. Special extension: wills



White v Jones [1995] 2 AC 207

Dissent:

- ❑ The essential ingredient of 'mutuality' is lacking
- ❑ No relationship between C and D – opens the floodgates to all claims where A asks B to perform a service for the benefit of C